

ii. Prepayment:

As the name suggests, prepayment means repaying a part of your home loan ahead of schedule.

According to the RBI, you won't face any prepayment penalty on floating rate loans, and most home loans are floating rate loans. So, you shouldn't face any penalties for prepaying a loan.



But why should you care?

The interest rates for home loans are like the tide – they go up and down.

When rates rise, banks often don't increase your EMI but extend your loan tenure to adjust. This increases the total interest you pay on the loan significantly.